

ACDC pitch deck

PITCH — ACDC — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no entry today: after both benches corrected the original brief, ProFrac's frac business prices at almost exactly what the best comparable pure-play trades at, and two-thirds of the market value sits in a listed subsidiary now carrying a terminated contract and a criminal referral.

What we believe

ProFrac Holding Corp. (ticker ACDC, \$4.83, down 41% from its 52-week high of \$8.22 and 57% above its low of \$3.08) is not a bargain and is not obviously overpriced. It is roughly fairly valued — but its *composition* is dangerous in a way a headline valuation ratio hides.

The mechanics, in plain terms:

- ProFrac owns 58.2% of a separately listed company, Flotek (FTK), and puts 100% of Flotek's results into its own income statement. That stake is worth about **\$566M** at Flotek's current \$24.36, against ProFrac's total stock-market value of about **\$882M** — roughly **64% of ProFrac's equity value is a stake in something else**.
- Strip that stake out and you get ProFrac's own frac/proppant business ("the stub"): about **\$1,418M** of enterprise value (market value, minus the Flotek stake, plus \$1,031M of non-Flotek net debt, plus \$71.5M of preferred stock) on about **\$185M** of trailing profit before interest, tax and depreciation. That is **7.7x**.
- Liberty Energy (LBRT), the cleanest pure-play comparison, trades at **7.68x** on the same basis.

So: the frac business is priced in line with its peer — there is nothing to harvest there. What is *not* in line is the Flotek stake, which is marked at roughly **22.9x** its own trailing profit of \$40.8M. If Flotek re-rates toward a normal 10x, ProFrac's stake falls to roughly \$228M — about **\$1.86 per ProFrac share, or a ~38% hit to ProFrac's equity**, with no offsetting cheapness in the frac business to cushion it.

Layered on that: an 83.1% controlling family owner (Wilks) with only ~\$148M of stock actually free-floating; a preferred security held by that same controlling family that accrues 8% and ranks ahead of common; free cash flow of roughly **-\$40M** in the first half of 2026; and a \$305M subsidiary loan (Alpine) whose first leverage test — a 2.00x limit — arrives 31 March 2028 against a business currently running at roughly 12x on that measure.

We believe: no edge long, and no short either. A 16.9% float under an 83.1% owner with an active short campaign on the subsidiary is a squeeze setup, not a trade.

What the market believes

The market believes ProFrac is a leveraged, cyclically-pressured frac company whose main asset just got a lot riskier — and it has already marked it accordingly.

- The stock is down 41% from its high. Sell-side coverage is negative (five Sell ratings; Morgan Stanley's target of \$4.50 sits *below* the \$4.83 tape).
- Flotek fell 20% on 17 August, from \$28.66 down to a \$23.92 low, and is now \$24.36 — down about 39% from its \$39.67 high.
- Nothing here is secret. The Puerto Rico power contract termination is in an 8-K; the Oversight Board's revocation and law-enforcement referral were covered in the press; the short report was published; securities-fraud investigation solicitations are on the wires.

The market's view and our view are close enough that neither bench could find a gap worth paying for.

Why we might have edge

Three candidates, none of which survived to a buy — but all three are real analytical wins worth keeping:

1. **The consolidation trap works both ways.** Standard screens compute ProFrac's valuation as $(\text{market value} + \text{net debt}) \div (\text{consolidated profit})$. That calculation includes 100% of Flotek's earnings while omitting the \$362M of Flotek that ProFrac doesn't own and the \$71.5M preferred that ranks ahead of common. Screens run this way *cannot see* the Flotek collapse at all — the parent's ratio barely moves. Any investor using a screen here is flying blind on 64% of the asset.
2. **But fixing the screen naively creates the opposite error.** Adding the missing claims gets you 10.6x versus a 7.68x peer — an apparent 38% premium. That is also wrong: it's the arithmetic blend of a 22.9x subsidiary and a 7.7x stub. Only decomposition gets the right answer. **Our own red bench made exactly this mistake** and reached "expensive" when the truth is "fairly priced with a dangerous top-heavy mix."
3. **The subsidiary loan covenant.** ProFrac's own filing says Alpine's first 2.00x test comes 31 March 2028 and that the company "believes it will be able to meet, modify, or **further defer**" it. The words "further defer" mean it has already been renegotiated once. That is a dated, mechanical fact largely absent from the sell-side conversation.

Why it might be priced in

Bluntly: almost all of it is.

- The Flotek trouble is public, dated, and already reflected in a 39% decline in Flotek's own shares — the very mark we used to value ProFrac's stake.
- Flotek stated that **no revenue was recognized** on the terminated Puerto Rico contract and **reaffirmed full-year guidance of \$340–350M**. The headline is severe; the earnings impact so far is zero.
- The first-half revenue decline (–14%, \$948M vs \$1,102M) measures damage already taken — and already reflected in the 41% drawdown. On a forward view, second-quarter revenue was roughly

flat year-over-year and adjusted profit rose 28.5% quarter-over-quarter.

- The Alpine covenant is 19 months away and non-dated in any actionable sense.
- The comparison anchor and the stock agree with each other: peer at 7.68x, our stub at 7.68x; analyst target \$4.50 versus tape \$4.83. Two independent external anchors, both saying “about right.”

We have a corrected valuation, not a divergent one. Every number we fixed landed *closer* to fair, not further from it. That is the honest reason we are not buying.

What could go wrong

(This is the pre-mortem for the position we would take if the reopen conditions below were hit — and, symmetrically, for the cost of staying out.)

Failure narrative 1 — The controller takes the company away from us at the bottom. (NO MONITORABLE TRIPWIRE.) The Wilks family owns 83.1%. The public float is about \$148M. A controlling holder at that level can propose a squeeze-out of minority holders at a depressed price, and the first observable evidence is typically the merger 8-K itself — the announcement *is* the event. Ownership filings carry boilerplate statements of purpose that convey no advance information. There is no price gate, no filing gate, and no data feed that fires before this happens. **Unknown-unknown class: controlling-holder intent.** The decision-relevant variable lives inside a private family office and is never disclosed until it is executed. We cannot instrument it; we can only size for it. Related unmonitorable siblings in the same class: a related-party asset transfer to another Wilks entity at a negotiated price, or a subsidiary restructuring that moves value below where common equity sits.

Failure narrative 2 — Flotek normalizes and takes two-thirds of our asset with it. (Tripwire: Flotek’s share price.) Flotek is marked at 22.9x trailing profit while under a law-enforcement referral for an unauthorized signature and multiple securities-fraud investigations. A move to 10x — an ordinary multiple, not a disaster multiple — costs ProFrac’s stake ~\$338M, about **\$1.86 per ProFrac share (–38%)**. The frac stub offers no cushion because it is already at peer valuation. This one is fully monitorable and should be the primary sensor.

Failure narrative 3 — The frac cycle keeps grinding and “fair” was fair on a fading number. (Tripwire: quarterly segment results, frac fleet counts.) Management flagged “incremental competitive pricing pressure in West Texas.” The proppant segment earned \$6.3M in the quarter — a 5% margin — and is guided approximately flat. Trailing profit of \$185M supports a 7.7x multiple; on a 20% lower run-rate the same price is 9.6x, and the Alpine covenant math deteriorates in parallel. Free cash flow is already negative (operating cash \$32.2M less capex \$72.4M = –\$40.2M in the first half), and in pressure pumping depreciation approximates maintenance spending, so profit-before-depreciation is a poor proxy for cash.

The reflexive and structural leg — our own size, our own predicted flow, and our own rules.

- *Size versus liquidity*: the tradable float is roughly \$148M. We could not measure average daily volume this session (the live broker data poll was denied — a real gap). At a typical 0.25–0.5% book position we would plausibly be a multi-day participant in this name, and our publish-everything policy caps ladders at 1% of daily volume. In a name this closely held, our own bid can be a meaningful share of the tape.
- *We would be bidding into flow we ourselves predict*: the reopen level below is reached mainly because Flotek keeps falling. That selling is information-bearing (holders reacting to a fraud investigation), not mechanical (an index rebalance or a forced deleveraging). Buying into information-bearing selling is adverse selection, not liquidity provision. Our own rule against bidding into flow we forecast points at abstaining here.
- *Doctrine interaction that binds mechanically*: because of the related-party history, our rules cap what we will pay at 85% of our own fair-value estimate. Our fair-value estimate is approximately the current price. **$0.85 \times \text{fair} \approx \4.12** — so the current \$4.83 is barred by arithmetic alone, before any judgment.
- *Doctrine interaction that cuts the other way*: our short-selling rules exclude names with squeeze characteristics — a 16.9% float, an 83.1% owner, and an active short campaign on the subsidiary. So the analysis that says “the subsidiary is at 22.9x and in trouble” cannot be expressed as a short. We are correct and unable to act.
- *Cost of being flat*: if Flotek’s contract issue resolves cleanly and its shares recover to \$30, ProFrac’s stake gains ~\$131M, about **\$0.72 per share (+15%)**, and we own none of it.

If this position loses money, the most likely reason will be that we bought a frac business at a fair price and paid nothing for the risk that two-thirds of the asset — a separately listed subsidiary marked at three times the parent’s own multiple, under criminal referral — re-rates to normal, with an 83.1% owner free to take out the remaining sliver at whatever the tape says on the day.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Current price is \$4.445 (original brief)	Read the evidence pack directly	Pack says \$4.825 . Our red bench “corrected” it to \$4.82; our blue bench “corrected” it to \$4.845. Both benches misquoted the same pack.	✗ Brief wrong; both benches also wrong
Peer LBRT trades at 8.92x (original brief)	Pulled LBRT statistics dated 2026-08-25: EV \$4.11B ÷ trailing profit \$530.75M	7.68x . The brief’s figure came from an undated third-party source	✗ Brief wrong; both benches agree on the fix
ProFrac’s enterprise value omits senior claims	Read the 10-Q and Flotek’s market value	Correct — \$71.5M preferred and ~\$362M of subsidiary minority interest were both missing	✓ Red bench correct
Therefore ProFrac is 10.6x and “38% expensive”	Decomposed the 10.6x into subsidiary and stub	Wrong conclusion from a right correction. 10.6x is a blend of a 22.9x subsidiary and a 7.7x stub. Our red	✗ Red bench error

Claim	How checked	Found	Confirmed?
		bench inferred an artifact it had just created	
Stub profit is ~\$170M	Pulled Flotek's actual trailing figure (\$40.77M) instead of estimating it	\$184.6M. Both benches guessed rather than pulled — a 1.1-turn error that flipped the sign of the verdict	✗ Both benches erred
Flotek stake value	Cross-checked red bench's own numbers	Red priced the stake at \$503.6M in one section (implying Flotek at \$21.67) while citing \$23.92 in another — internally inconsistent by ~\$60M	✗ Red bench error
Puerto Rico contract “on hold / approval revoked”	Read the primary 8-K	Worse as fact — the contract was terminated (8/17 8-K), with the Oversight Board referring the signature to law enforcement. But: no revenue was recognized and Flotek reaffirmed guidance → zero profit impact so far	✓ Fact worse, kill weaker
That contract event is a novel, non-consensus finding	Checked whether it was public	Public 8-K, published short report, wire coverage, law-firm solicitations. Red bench mis-tagged its own headline finding as novel when it was consensus	✗ Red bench tagging error
Insider buying supports the bull case	Dated the Form 4s	Purchases are 8/11–8/12 — before the 8/14 revocation and 8/17 short report. Zero insider buying after the event	✓ Counterweight is stale
First-half revenue trend	Compared 1H26 vs 1H25 from filings	–14.0% (\$947.7M vs \$1,102.2M) — real, but backward-looking; Q2 was roughly flat year-over-year	✓ with the caveat
Liquidity: ~\$72M against \$159.9M of near-term maturities	Read the subsequent-events tag in the filing data	A credit facility was refinanced on 2026-07-01 — one day after the balance-sheet date. Both benches argued a liquidity cliff using superseded numbers. Blue caught the existence; nobody has read the 8-K	⚠ Existence confirmed, magnitude unread
Alpine covenant: 2.00x first tested 3/31/2028	Quoted directly from the 10-Q	Confirmed, including the filer's own phrase “meet, modify, or further defer ”	✓
Next earnings date 2026-11-09	Looked for a company press release naming it	Vendor-derived only. Neither bench could confirm it from a primary source.	✗ Unconfirmed
Tax-receivable-agreement obligations	Attempted to read the relevant note	Not read. The share structure that generated it has collapsed, which is exactly when residual payment obligations crystallize as a claim ahead of common. Red bench skipped this check entirely	✗ Unchecked by both
How interesting is this name?	Both benches scored it	Red: 6/10. Blue: 4/10. Unresolved between benches	⚠ Split

Primary source relied on throughout: [ProFrac 10-Q for the quarter ended 2026-06-30](#) and the [Wilks 13D/A filed 2026-08-12](#). Note both were retrieved through a proxy; direct SEC retrieval was not

attempted after an earlier blocking pattern.

PROPOSED ENTRY BANDS

There is no entry. The courts say no. What follows are the conditions under which we would look again.

Current stance: no shares, no orders, no options. Do not buy at \$4.83. Do not short at any price.

Hard ceiling (arithmetic, not judgment): because of the related-party/integrity flag, we cap what we will pay at 85% of our fair-value estimate. Our estimate is $\approx$ the current price, so the ceiling is **\$4.12**. Anything above that is barred before analysis begins.

Reopen band A — the stub gets genuinely cheap (value reopen). Look again at **\$3.15 or below**, *provided Flotek is still at \$22 or higher*. That level puts the frac stub at about **6.0x** — a $\sim 22\%$ discount to the 7.68x peer — which would be the first named, quantified gap in this name. The trap this guards against: if ProFrac falls to \$3.15 *because Flotek fell*, the stub has not cheapened at all and the gate is meaningless. So the gate must be recomputed against Flotek's price, using the benches' own arithmetic:

Reopen price = \$0.03 + (0.128 $\times$ Flotek's share price) At FTK \$24.36 $\rightarrow$ **\$3.14** $\cdot$ at FTK \$20 $\rightarrow$ **\$2.58** $\cdot$ at FTK \$15 $\rightarrow$ **\$1.94**

Note honestly that \$3.15 sits barely above the 52-week low of \$3.08 — this reopen requires the stock to make new lows *for the right reason*.

Reopen band B — the subsidiary risk resolves (event reopen). An 8-K from ProFrac or Flotek showing the Puerto Rico matter resolved and the law-enforcement referral closed, **plus** Flotek trading back above **\$30** (which adds $\sim$ \$131M, or **\$0.72 per ProFrac share**, to the stake and restores an asset-value floor). At that point re-court at **\$5.50 or below** — but only with a named reason the stub should be worth more than peer, which we do not currently have.

Reopen band C — informed insider accumulation. A Form 4 showing Wilks buying **after 17 August 2026** at or below \$4.83. The 8/11–8/12 purchases do not count: they predate both the contract revocation and the short report. Post-event buying by the controller would be the first genuinely informed signal in the file.

Reopen band D — the balance sheet materially improves. Positive free cash flow for two consecutive quarters on the company's own definition, *and* operating cash flow exceeding capital spending; or a filed amendment resetting or removing the Alpine 2.00x test.

Sizing if any reopen fires: starter only, **0.25% of book maximum**, entered in calendar tranches, with the ladder capped at 1% of average daily volume. Rationale for the small cap even on a reopen: the freeze-out tail has no tripwire, and the float is $\sim$ \$148M. **Average daily volume must be measured before any order is staged** — we could not poll it this session.

Catalyst dates: - 2026-11-09 — third-quarter results. **UNCONFIRMED** (vendor-derived; no company release names it). Roughly 53 trading days out. - **2028-03-31** — Alpine's first 2.00x leverage test. Confirmed from the 10-Q. Dated and mechanical, but distant. - **No fixed date** — Flotek/Puerto Rico litigation and investigation developments. This, not the earnings print, is the binding near-term event, and it is date-unknown.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 15.0 (deck-provisional: FTK: subsidiary de-rates further; recompute the ACDC reopen line and re-run failure narrative 2 (each)
- filing watch: 8-K until 2027-02-21 (deck-provisional: ACDC CIK 1881487: Alpine covenant amendment, 7/1/26 ABL refinancing terms, or any merger/going-private)
- dated pack ACDC|2026-11-09: ACDC: Q3 2026 results — vendor-derived date, no company release names it (date confirmed=False)
- dated pack ACDC|2026-07-06: ACDC: 8-K covering the 2026-07-01 ABL refinancing — filed but UNREAD; supersedes the 6/30 liquidity figures both benches argued from (date c
- dated pack ACDC|2028-03-31: ACDC: Alpine 2023 Term Loan first 2.00x Total Net Leverage test; \$305M against ~\$25M annualized silo profit; filer's own language is 'meet,

What remains unverified

1. **The current price itself.** The pack says \$4.825; one bench read \$4.82 and the other \$4.845. The live broker data poll was denied this session, so nothing is confirmed against the live tape. Every per-share figure here carries $\sim \pm 0.5\%$.
2. **Share count.** Working figure $\sim 182\text{M}$ (implied by market value $\div$ price); the 13D/A implies $\sim 185\text{M}$ ($153,640,096$ shares = 83.1%). A $\sim 1.5\%$ discrepancy that shifts the per-share reopen levels by roughly 2%.
3. **The 1 July 2026 credit-facility refinancing.** Its existence is confirmed from the filing's subsequent-events tags; its size, terms, and effect on near-term maturities are **unread**. The 8-K filed 2026-07-06 is the document to pull. Both benches argued liquidity from superseded 30 June figures.
4. **Tax-receivable-agreement obligations.** Not read by either bench. The share structure that generated these payments has collapsed, which is precisely when residual obligations crystallize as a claim ahead of common. This belongs in enterprise value next to the \$71.5M preferred and is currently missing from every number in this deck.
5. **The 9 November earnings date.** Vendor-derived; no company release confirms it.
6. **A revenue figure anomaly.** The data pack shows Q1'25 revenue of \$600.3M against Q2'25 of \$501.9M — a large step that should be re-pulled before the -14% first-half comparison is leaned on independently.

7. **Alpine's own profit versus the proppant segment's.** The 12x-versus-2.0x covenant gap is computed from segment figures, which are not identical to the borrowing entity's. The gap is an order of magnitude, so the direction is safe, but the exact number is not.
8. **How interesting this name is.** Red scored it 6/10 (because the subsidiary impairment and covenant are dated and mechanical); blue scored it 4/10 (because every corrected number landed closer to fair, so no finding can move sizing). Unresolved.
9. **Flotek's forward earnings.** We used its trailing \$40.77M. Reaffirmed full-year revenue guidance of \$340–350M implies a different forward profit figure that would change the 22.9x multiple — and therefore the size of failure narrative 2.

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